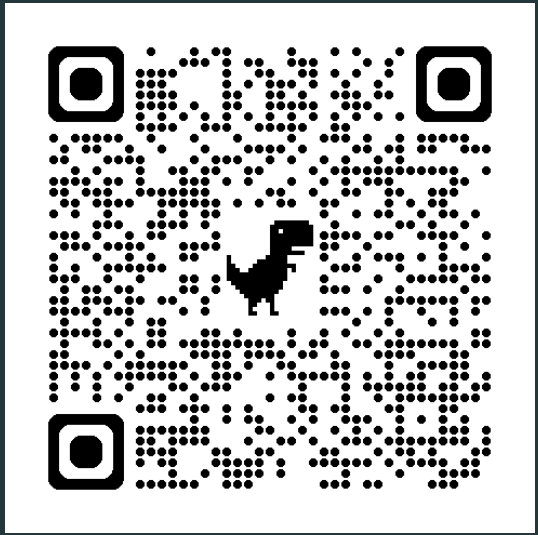
US Economic Statecraft, Asian Economic Diplomacy: Geoeconomic Theory and Empirics

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Fri 30 Oct 2026

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(Follow along on your personal device)



Conclusion

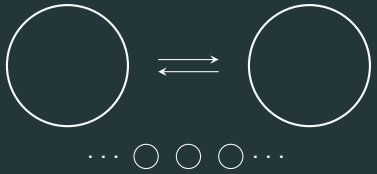
1. Economic statecraft, economic diplomacy
   - Acquiesce. Adapt. Aggregate. Resist. 3A+
2. Analytical model
   - 3A+; Resilience; Economic Security
3. Empirics
   - Strategic differentiation
   - Dynamic complementarity
   - Great Power elasticity

ECONOMIC STATECRAFT, ECONOMIC DIPLOMACY

(Need to fill in here)

ANALYTICAL MODEL

Thucydides and small-state agency



$\mathsf{GP} = \{0, 1\}$

$\mathsf{TN} = \{\ldots, -1, 0, 1, \ldots\}$

Figure 1: Great Powers and Third Nations. "Great Powers do what they will. The rest of us suffer what we must." (Thucydides 400BCE, *The Peloponnesian War*)

1. Economic statecraft is what members of GP do, a "means of working the US's geopolitical will in the world" (Blackwill and Harris, 2016; CMS, BGH, MRS, CMO).
2. Economic diplomacy is what, without rules-based multilateralism, members of TN need to do
3. Inversion: Switched dependent variable, equilibrium concept, mechanism, normative perspective.

Model

$$\gamma W(K, Z) = \sup_{\pi} \left\{ p(\rho \times \pi) - c(\pi) + W_d \dot{K_d} + W_g \dot{K_g} + W_Z \dot{Z} \right\}$$
$$W_d = \frac{\partial W}{\partial K_d}, \; W_g = \frac{\partial W}{\partial K_g}, \; W_Z = \frac{\partial W}{\partial Z}. \tag{1}$$

$$\gamma S(K, Z) = \sup_{\sigma} \left\{ y(K, \alpha_q, \xi) - f(K, \alpha_q, \alpha_d, \alpha_g, \xi; \pi) + S_d \dot{K_d} + S_g \dot{K_g} + S_Z \dot{Z} \right\}$$
$$S_d = \frac{\partial S}{\partial K_d}, \; S_g = \frac{\partial S}{\partial K_g}, \; S_Z = \frac{\partial S}{\partial Z}. \tag{2}$$

Model

$$\rho \times p' + (1-\rho) W_Z = c' \tag{3}$$

$$y_q - f_q = S_Z \pi \rho_q \tag{4}$$

$$-f_d + S_d = 0 \tag{5}$$

$$-f_g + S_g = 0 \tag{6}$$

$$y_\xi - f_\xi = S_Z \pi \rho_\xi. \tag{7}$$

EMPIRICAL FINDINGS

(Need to fill in here)

Conclusion

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